

Tax: Classification, Direct and Indirect Taxes, Specific and Ad-Valorem Taxes, Personal Income Tax, Good Tax System, and Tax Evasion

Meaning, Purpose, and Classification of Taxes

1. Meaning of Tax

A **tax** is a compulsory payment made by individuals, households, firms, or organizations to the government without receiving a direct and equal benefit in return.

In simple words:

Tax is money that people and businesses must pay to the government according to law.

Tax is compulsory. If a person or business is legally required to pay tax but does not pay, the government can impose penalties.

1.1 Important Elements of Tax

A tax has several important features:

1. **Compulsory payment**
A tax is not voluntary. It must be paid if the law requires it.
2. **Paid to the government**
Taxes are collected by the state or government authority.
3. **No direct equal return**
A taxpayer does not receive a direct service exactly equal to the amount of tax paid.
4. **Used for public purposes**
Tax revenue is used for public services, infrastructure, administration, defense, education, healthcare, social protection, and development.
5. **Based on legal authority**
Taxes must be imposed according to law.

1.2 Example

Suppose a person earns income from a job. The government may require the person to pay income tax. The person does not receive a direct service exactly equal to the amount paid. However, the tax contributes to public services such as roads, education, hospitals, law enforcement, and public administration.

2. Tax, Fee, Fine, and Price: Basic Differences

Students often confuse tax with fee, fine, and price. These concepts should be separated clearly.

Concept	Meaning	Example
Tax	Compulsory payment to government without direct equal return	Income tax, VAT, customs duty
Fee	Payment for a specific service provided by government or institution	Passport fee, registration fee, exam fee
Fine	Penalty for breaking a law or rule	Traffic fine, penalty for late filing
Price	Payment for buying a good or service	Price of laptop, internet package, software subscription

Explanation

If a student buys a laptop, the money paid to the seller is the **price**.

If the government imposes VAT on the laptop, that is a **tax**.

If the student pays a university exam charge, that is a **fee**.

If someone violates a legal rule and pays a penalty, that is a **fine**.

3. Why Does Government Collect Taxes?

Governments collect taxes for several important reasons.

3.1 To Finance Public Expenditure

The government needs money to provide public goods and services.

Examples:

- Roads and bridges,
- Public education,
- Public health services,
- Police and judiciary,
- Defense,
- Disaster management,
- Digital infrastructure,

- Public universities,
- Social safety net programs.

Without taxes, the government would not be able to finance these activities properly.

3.2 To Redistribute Income

Taxes can reduce income inequality. Higher-income people may pay more taxes, and the revenue may be used to support lower-income groups through public services or transfers.

Example:

Revenue from income tax may be used to finance public education, health services, scholarships, or poverty reduction programs.

3.3 To Regulate Consumption

The government may impose higher taxes on harmful goods to discourage their consumption.

Examples:

- Tobacco,
- Alcohol,
- Environmentally harmful products,
- Luxury goods.

This type of taxation is sometimes used to change consumer behavior.

3.4 To Protect Domestic Industries

Customs duties or import taxes may be imposed on imported goods to protect domestic producers.

Example:

If imported goods are taxed, locally produced goods may become relatively more competitive.

3.5 To Control Inflation and Stabilize the Economy

Taxation can be used as a fiscal policy tool. If the government increases taxes, people may have less disposable income, which can reduce excessive demand. If taxes are reduced, disposable income may rise.

3.6 To Support Development

Tax revenue can be used for development projects such as:

- ICT infrastructure,
- Digital public services,
- Education and training,
- Research and innovation,
- Power generation,
- Transportation,
- Rural development.

For CST students, taxation is important because government investment in digital infrastructure, internet connectivity, cybersecurity, and ICT education depends partly on public revenue.

4. Classification of Taxes

Taxes can be classified in several ways. The most common classifications are:

1. Direct and indirect taxes,
 2. Specific and ad-valorem taxes,
 3. Progressive, proportional, and regressive taxes,
 4. Personal and corporate taxes,
 5. Central/national and local taxes,
 6. Income, consumption, wealth, and trade taxes.
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5. Direct and Indirect Taxes

This is one of the most important classifications.

5.1 Direct Tax

A **direct tax** is a tax whose burden is borne by the same person or organization on whom it is imposed.

In simple words:

In direct tax, the person who is legally responsible for paying the tax also bears the final burden of the tax.

Examples of Direct Taxes

- Personal income tax,

- Corporate income tax,
- Wealth tax, if applicable,
- Property tax, in some cases,
- Capital gains tax, where applicable.

Example

If a software engineer earns income and pays income tax from that income, the tax is direct. The software engineer cannot usually shift the burden to another person.

5.2 Features of Direct Taxes

1. The taxpayer directly pays the tax to the government.
 2. The burden usually cannot be shifted to others.
 3. It is often based on income, profit, property, or wealth.
 4. It can be made progressive.
 5. It is usually more visible to taxpayers.
 6. It may require documentation, filing, and assessment.
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5.3 Advantages of Direct Taxes

1. Equity

Direct taxes can be designed according to ability to pay. Higher-income people can be taxed more.

2. Certainty

The taxpayer usually knows how much tax must be paid and when it must be paid.

3. Revenue Productivity

Income and corporate taxes can generate significant revenue.

4. Reduction of Inequality

Progressive income tax can reduce income inequality.

5. Civic Responsibility

Direct taxation may make citizens more aware of public finance and government accountability.

5.4 Disadvantages of Direct Taxes

1. Burden Felt Strongly

People often feel direct taxes more because they pay them directly from income.

2. Possibility of Evasion

Taxpayers may hide income or underreport earnings.

3. Administrative Complexity

Direct taxes require recordkeeping, filing, assessment, auditing, and enforcement.

4. Possible Disincentive

Very high direct taxes may reduce incentives to work, save, invest, or report income honestly.

5.5 Indirect Tax

An **indirect tax** is a tax imposed on goods and services. The legal responsibility may be on producers, sellers, or importers, but the final burden is often shifted to consumers through higher prices.

In simple words:

In indirect tax, the person who pays the tax to the government may shift the burden to another person.

Examples of Indirect Taxes

- Value Added Tax,
 - Sales tax,
 - Excise duty,
 - Customs duty,
 - Supplementary duty,
 - Tax on goods and services.
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5.6 Example of Indirect Tax

Suppose a mobile phone seller must pay VAT on mobile phones. The seller may include the tax in the final selling price. The buyer pays a higher price. In this way, the tax burden is shifted to the consumer.

5.7 Features of Indirect Taxes

1. Imposed on goods and services.
2. Collected from producers, sellers, or importers.
3. Often included in market prices.
4. Burden can be shifted to consumers.
5. Easier to collect from organized businesses.
6. May affect consumption decisions.

5.8 Advantages of Indirect Taxes

1. Convenient Collection

Indirect taxes are collected at the point of production, sale, import, or consumption.

2. Broad Coverage

Many people contribute when they buy taxed goods and services.

3. Less Visible

Consumers may not always feel the burden directly because the tax is included in the price.

4. Can Discourage Harmful Consumption

Higher taxes on harmful goods can reduce their consumption.

5. Revenue Generation

Indirect taxes can generate large revenue because consumption is widespread.

5.9 Disadvantages of Indirect Taxes

1. Regressive Effect

Indirect taxes may place a heavier relative burden on low-income people because they spend a larger share of income on consumption.

2. Price Increase

Indirect taxes increase prices of goods and services.

3. Inflationary Pressure

If imposed widely, indirect taxes may contribute to inflation.

4. Less Equitable

The same tax rate may apply to rich and poor consumers.

5. Can Reduce Demand

Higher prices may reduce consumption of taxed goods.

6. Difference Between Direct and Indirect Taxes

Basis	Direct Tax	Indirect Tax
Meaning	Tax imposed directly on income, profit, property, or wealth	Tax imposed on goods and services
Initial payer	Individual or organization earning income or owning taxable base	Producer, seller, importer, or service provider
Final burden	Usually borne by the same person	Often shifted to consumers
Visibility	More visible	Less visible because included in price
Equity	Can be more equitable and progressive	Can be regressive
Examples	Personal income tax, corporate income tax	VAT, customs duty, excise duty
Administrative requirement	Requires income records and filing	Requires transaction, sales, and invoice records
CST example	Income tax on freelancing income	VAT on software subscription or digital device purchase

7. Specific Tax and Ad-Valorem Tax

Another important classification is based on how tax is calculated.

7.1 Specific Tax

A **specific tax** is a fixed amount of tax imposed per unit of a good or service, regardless of its price.

In simple words:

Specific tax is based on quantity, not value.

Formula

Specific Tax = Fixed Tax per Unit × Number of Units

Example 1

Suppose the government imposes a tax of Tk. 10 per unit on a product.

If 100 units are sold:

$$\text{Total Tax} = \text{Tk. } 10 \times 100 = \text{Tk. } 1,000$$

The price of each unit does not matter for calculating the tax.

7.2 Example

Suppose a specific tax of Tk. 50 is imposed per SIM card.

If 1,000 SIM cards are sold:

$$\text{Total Tax} = \text{Tk. } 50 \times 1,000 = \text{Tk. } 50,000$$

This is a specific tax because it depends on the number of SIM cards, not on the price of each SIM.

7.3 Features of Specific Tax

1. Fixed amount per unit.
 2. Easy to calculate.
 3. Does not change automatically with price.
 4. Revenue depends on quantity sold.
 5. Burden may be relatively heavier on cheaper goods.
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7.4 Advantages of Specific Tax

1. Simple to understand.
 2. Easy to administer.
 3. Reduces valuation disputes.
 4. Useful for goods measured by quantity, weight, volume, or units.
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7.5 Disadvantages of Specific Tax

1. Does not adjust automatically with inflation.
 2. May be unfair between cheap and expensive versions of the same good.
 3. May generate lower real revenue when prices rise.
 4. Can place a heavier relative burden on low-priced goods.
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7.6 Ad-Valorem Tax

An **ad-valorem tax** is a tax imposed as a percentage of the value or price of a good or service.

The term “ad-valorem” means “according to value.”

In simple words:

Ad-valorem tax is based on the price or value of the good.

Formula

Ad-Valorem Tax = Tax Rate $\times$ Value of Good or Service

7.7 Example 1

Suppose the tax rate is 10% on a software subscription worth Tk. 2,000.

Tax = 10% of Tk. 2,000

Tax = $0.10 \times 2,000 = \text{Tk. } 200$

Total payment:

Tk. 2,000 + Tk. 200 = Tk. 2,200

7.8 Example 2: Laptop Purchase

Suppose a laptop price is Tk. 80,000 and an ad-valorem tax of 5% is imposed.

Tax = 5% of Tk. 80,000

Tax = $0.05 \times 80,000 = \text{Tk. } 4,000$

Total price paid by consumer:

Tk. 80,000 + Tk. 4,000 = Tk. 84,000

7.9 Features of Ad-Valorem Tax

1. Imposed as a percentage of value.
 2. Tax amount rises when price rises.
 3. Revenue adjusts automatically with inflation.
 4. Requires proper valuation.
 5. Commonly used in VAT, sales tax, customs duty, and property tax.
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7.10 Advantages of Ad-Valorem Tax

1. More flexible than specific tax.
 2. Revenue increases automatically when prices rise.
 3. Better reflects ability to pay when expensive goods are taxed more.
 4. Suitable for goods with different qualities and prices.
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7.11 Disadvantages of Ad-Valorem Tax

1. Requires accurate valuation.
 2. Can encourage under-invoicing or underreporting value.
 3. More complex than specific tax.
 4. Disputes may arise over the correct value of goods.
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8. Difference between Specific and Ad-Valorem Taxes

Basis	Specific Tax	Ad-Valorem Tax
Basis of calculation	Quantity, weight, volume, or unit	Value or price
Form	Fixed amount per unit	Percentage of value
Formula	Tax per unit $\times$ number of units	Tax rate $\times$ value
Effect of price rise	Tax per unit remains unchanged	Tax amount rises with price
Simplicity	Simpler	More complex
Valuation problem	Less common	More common
Example	Tk. 20 per packet	10% of product price
CST example	Fixed tax per SIM card	Percentage tax on software subscription

9. Other Classifications of Taxes

Although the course focuses on direct, indirect, specific, and ad-valorem taxes, students should also understand other common classifications.

9.1 Progressive Tax

A **progressive tax** is a tax where the tax rate increases as income increases.

Example:

A low-income person pays a lower tax rate, while a high-income person pays a higher tax rate.

Importance

Progressive taxes are considered more equitable because they are based on ability to pay.

9.2 Proportional Tax

A **proportional tax** is a tax where the same tax rate applies to everyone regardless of income.

Example:

Everyone pays 10% of income as tax.

If income is Tk. 100,000, tax is Tk. 10,000.

If income is Tk. 500,000, tax is Tk. 50,000.

The amount differs, but the rate remains the same.

9.3 Regressive Tax

A **regressive tax** is a tax where the tax burden is heavier on low-income people as a percentage of their income.

Indirect taxes can sometimes be regressive.

Example:

If both a rich person and a poor person pay the same VAT on a basic good, the tax takes a larger share of the poor person's income.

9.4 Personal Tax and Corporate Tax

Personal Tax

Personal tax is imposed on individual income.

Examples:

- Salary income,
- Business income,
- Freelancing income,
- Professional income,
- Rental income,
- Investment income.

Corporate Tax

Corporate tax is imposed on the profit of companies.

Example:

A software company earns profit from selling software and pays corporate tax on its taxable profit.

9.5 Income Tax, Consumption Tax, Wealth Tax, and Trade Tax

Type	Meaning	Example
Income tax	Tax on income	Salary tax, professional income tax
Consumption tax	Tax on spending	VAT, sales tax
Wealth tax	Tax on ownership of assets	Property or wealth-related tax
Trade tax	Tax on imports or exports	Customs duty

Personal Income Tax, Good Tax System, Tax Evasion, and CST Applications

10. Personal Income Tax

10.1 Meaning of Personal Income Tax

Personal income tax is a tax imposed on the income of individuals.

In simple words:

Personal income tax is a tax paid by individuals on their taxable income.

Individuals may earn income from many sources. If their income exceeds the legally exempted limit and falls under taxable categories, they may have to pay income tax according to law.

Tax rates, exemptions, and rules differ across countries and may change from year to year. Therefore, students should understand the basic concept first rather than memorizing temporary rates.

10.2 Sources of Personal Income

Personal income may come from different sources.

Examples:

1. Salary from employment,
2. Business income,
3. Professional income,

4. Freelancing income,
 5. Rental income,
 6. Interest income,
 7. Dividend income,
 8. Capital gains,
 9. Honorarium,
 10. Consultancy income,
 11. Online platform income,
 12. Software or app development income.
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10.3 CST-Relevant Sources of Personal Income

For CST students and graduates, personal income may come from:

1. Software development job,
2. IT support job,
3. Freelancing,
4. Web development,
5. App development,
6. UI/UX (User Interface / User Experience) design,
7. Cybersecurity services,
8. Data analysis,
9. Online teaching,
10. YouTube or content creation,
11. Affiliate marketing,
12. Sale of digital products,
13. Remote work for foreign clients,
14. Consultancy,
15. AI-related services.

These income sources may create tax responsibilities depending on the law of the country.

11. Gross Income, Exempt Income, Deductions, and Taxable Income

11.1 Gross Income

Gross income is the total income earned before deducting allowable expenses, exemptions, or deductions.

Example:

A freelancer earns:

- Tk. 60,000 from web development,
- Tk. 20,000 from online tutoring,
- Tk. 10,000 from content writing.

Gross income:

$$\text{Tk. 60,000} + \text{Tk. 20,000} + \text{Tk. 10,000} = \text{Tk. 90,000}$$

11.2 Exempt Income

Exempt income refers to income that is legally not subject to tax.

The types of exempt income depend on the tax law of a country.

Example:

Certain allowances, benefits, scholarships, or savings instruments may receive tax exemption depending on legal rules.

11.3 Deductions

Deductions are amounts allowed to be subtracted from gross income before calculating taxable income.

Examples may include:

- Approved investment allowance,
- Certain savings,
- Retirement contributions,
- Certain professional expenses,
- Donations to approved institutions,
- Other legally allowed deductions.

Rules differ across countries and change over time.

11.4 Taxable Income

Taxable income is the income on which tax is calculated after subtracting exemptions and allowable deductions from gross income.

Simple formula:

$$\text{Taxable Income} = \text{Gross Income} - \text{Exempt Income} - \text{Allowable Deductions}$$

11.5 Tax Liability

Tax liability is the amount of tax that a person is legally required to pay.

Simple formula:

$$\text{Tax Liability} = \text{Tax Rate} \times \text{Taxable Income}$$

In progressive tax systems, different portions of income may be taxed at different rates.

12. Simple Personal Income Tax Example

This is a simplified example. It does not represent any specific current tax law.

Suppose a CST graduate earns Tk. 80,000 per month from a software job.

Annual income:

$$\text{Tk. } 80,000 \times 12 = \text{Tk. } 960,000$$

Suppose allowable deductions are Tk. 160,000.

Taxable income:

$$\text{Tk. } 960,000 - \text{Tk. } 160,000 = \text{Tk. } 800,000$$

If the applicable average tax rate is assumed to be 10%:

Tax liability:

$$10\% \text{ of Tk. } 800,000 = \text{Tk. } 80,000$$

This example shows the basic process:

1. Calculate annual gross income.
 2. Subtract allowable deductions.
 3. Find taxable income.
 4. Apply tax rate.
 5. Calculate tax liability.
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13. Personal Income Tax and Freelancing

Many CST students may earn money through freelancing. Freelancing income is income earned by providing services independently.

Examples:

- Website development,
- App development,
- Graphic design,
- Data entry,
- Software testing,
- Digital marketing,
- Programming assistance,
- Cybersecurity testing,
- Technical writing.

Freelancing income may be taxable if it meets legal conditions. Freelancers should keep records of:

1. Payments received,
2. Client invoices,
3. Platform statements,
4. Bank statements,
5. Business expenses,
6. Software subscription costs,
7. Internet bills,
8. Equipment expenses,
9. Tax documents.

Good recordkeeping helps calculate income properly and reduces tax risk.

14. Personal Income Tax and Digital Platforms

Digital platforms have created new income opportunities.

Examples:

1. YouTube income,
2. App store income,
3. Online course sales,
4. Subscription-based content,
5. E-book sales,
6. Online consultancy,
7. Affiliate marketing,
8. Digital product sales.

These incomes may be irregular and come from local or foreign sources. Digital income is still income. If the law requires reporting, it should be reported.

15. Withholding Tax / Tax Deducted at Source

In many tax systems, tax may be deducted before income reaches the taxpayer. This is often called **withholding tax** or **tax deducted at source**.

Example:

A company pays a consultant Tk. 50,000 but deducts Tk. 5,000 as tax before payment. The consultant receives Tk. 45,000, and Tk. 5,000 is deposited with the government.

This system helps government collect tax more efficiently.

Example

If a software developer works as a consultant for a company, the company may deduct tax before paying the developer, depending on applicable rules.

16. Characteristics of a Good Tax System

A good tax system should raise enough revenue for the government while being fair, efficient, simple, and supportive of economic development.

16.1 Equity

A good tax system should be fair.

There are two types of equity:

Horizontal Equity

People with similar ability to pay should pay similar taxes.

Example:

Two software engineers earning the same taxable income should pay similar tax.

Vertical Equity

People with greater ability to pay should pay more tax.

Example:

A high-income software entrepreneur should pay more tax than a low-income worker.

16.2 Certainty

Taxpayers should know:

1. How much tax to pay,
2. When to pay,
3. How to pay,
4. What records to keep,
5. What penalties apply for non-compliance.

Uncertainty creates confusion and discourages compliance.

16.3 Convenience

Tax payment should be convenient for taxpayers.

Examples:

- Online tax filing,
- Mobile payment options,
- Clear forms,
- Simple instructions,
- Digital receipts,
- Help desks.

This shows the importance of digital government systems.

16.4 Economy

The cost of collecting tax should be low compared to the revenue collected.

If the government spends too much to collect a small amount of tax, the system is inefficient.

Similarly, taxpayers should not face excessive compliance costs.

16.5 Simplicity

Tax rules should be understandable.

A complicated tax system creates:

1. Confusion,
2. Mistakes,
3. Evasion opportunities,
4. Higher compliance costs,

5. Dependence on intermediaries.
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16.6 Productivity

A good tax system should generate sufficient revenue to finance government expenditure.

A tax system that cannot raise enough revenue may lead to budget deficits, borrowing, or reduced public services.

16.7 Elasticity

A good tax system should grow with the economy.

As income, production, trade, and consumption grow, tax revenue should also increase.

Example:

If digital businesses grow, the tax system should be able to capture appropriate revenue without discouraging innovation.

16.8 Flexibility

A good tax system should adapt to changing economic conditions.

Examples:

- Economic crisis,
 - Inflation,
 - Technological change,
 - Growth of digital platforms,
 - Expansion of freelancing,
 - International e-commerce.
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16.9 Neutrality

A good tax system should not create unnecessary distortions in economic decisions.

If taxes are poorly designed, they may discourage work, investment, savings, innovation, or formal business activity.

16.10 Transparency

Tax rules and tax spending should be transparent.

Taxpayers are more willing to pay tax when they believe that:

1. Rules are clear,
2. Collection is fair,
3. Corruption is controlled,
4. Public money is used properly.

16.11 Administrative Efficiency

A good tax system requires efficient administration.

This includes:

1. Taxpayer registration,
2. Digital recordkeeping,
3. Online filing,
4. Risk-based audit,
5. Data matching,
6. Clear communication,
7. Quick dispute resolution.

CST students can contribute to this area through software development, cybersecurity, database management, digital identity systems, and data analytics.

17. Summary Table: Characteristics of a Good Tax System

Characteristic	Meaning	Example
Equity	Tax should be fair	Higher-income people pay more
Certainty	Tax rules should be clear	Taxpayer knows amount and deadline
Convenience	Payment should be easy	Online filing and digital payment
Economy	Collection cost should be low	Efficient tax administration
Simplicity	Rules should be understandable	Simple forms and clear instructions
Productivity	Tax should raise enough revenue	Supports public expenditure
Elasticity	Revenue grows with economy	More income leads to more revenue
Flexibility	System adapts to change	Digital economy included in tax system

Characteristic	Meaning	Example
Neutrality	Avoid unnecessary distortion	Taxes should not discourage innovation
Transparency	Rules and spending should be open	Clear tax laws and public accountability
Administrative efficiency	Tax authority works effectively	Digital records, audits, data matching

18. Tax Evasion

18.1 Meaning of Tax Evasion

Tax evasion means illegally avoiding payment of tax by hiding income, underreporting income, overstating expenses, falsifying records, or violating tax laws.

In simple words:

Tax evasion is illegal non-payment or underpayment of tax.

18.2 Examples of Tax Evasion

1. Hiding income,
 2. Not reporting freelancing income,
 3. Keeping false accounts,
 4. Underreporting sales,
 5. Overstating business expenses,
 6. Using fake invoices,
 7. Not issuing receipts,
 8. Smuggling goods to avoid customs duty,
 9. Under-invoicing imports,
 10. Paying employees off the books,
 11. Misreporting digital transactions,
 12. Creating fake deductions,
 13. Not registering a taxable business.
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18.3 CST-Related Examples of Tax Evasion

Tax evasion can occur in digital and technology-related activities.

Examples:

1. A freelancer receives foreign payments but does not report the income.

2. An online seller sells products through social media but keeps no sales record.
 3. A software firm shows fake expenses to reduce taxable profit.
 4. A digital service provider receives payment through informal channels to avoid reporting.
 5. A business underreports online sales.
 6. A seller imports computer accessories but declares a lower value to reduce customs duty.
 7. A company pays programmers unofficially to avoid payroll tax obligations.
 8. A platform seller deletes transaction records to hide revenue.
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19. Tax Avoidance vs Tax Evasion

Students must understand the difference between tax avoidance and tax evasion.

19.1 Tax Avoidance

Tax avoidance means reducing tax liability by using legal methods.

Example:

A taxpayer invests in an approved savings instrument and receives legal tax benefits.

Tax avoidance is legal if done within the law, but aggressive avoidance may raise ethical concerns.

19.2 Tax Evasion

Tax evasion is illegal. It involves fraud, concealment, false reporting, or violation of tax law.

Example:

A taxpayer hides income or creates fake expenses to reduce tax.

19.3 Difference between Tax Avoidance and Tax Evasion

Basis	Tax Avoidance	Tax Evasion
Legal status	Legal	Illegal
Method	Uses legal provisions	Uses false reporting or concealment
Example	Claiming legal deductions	Hiding income
Penalty	Usually no penalty if legal	Penalties, fines, prosecution
Ethical issue	May be ethically debated	Clearly unethical and illegal

20. Causes of Tax Evasion

Tax evasion may occur for many reasons.

20.1 High Tax Rates

If tax rates are very high, some people may try to evade taxes.

20.2 Complex Tax System

Complicated rules may create confusion and loopholes.

20.3 Weak Tax Administration

If enforcement is weak, taxpayers may believe evasion will not be detected.

20.4 Cash-Based Economy

Cash transactions are harder to trace than digital payments.

20.5 Lack of Tax Morale

If people do not trust the government or believe public money is misused, they may be less willing to pay tax.

20.6 Corruption

Corruption can encourage tax evasion if taxpayers can avoid legal obligations through illegal payments.

20.7 Poor Recordkeeping

Small businesses and freelancers may fail to keep proper records, leading to underreporting.

20.8 Informal Economy

Large informal sectors make tax collection difficult.

21. Effects of Tax Evasion

Tax evasion has serious economic and social effects.

21.1 Loss of Government Revenue

Tax evasion reduces government revenue. This limits public spending on education, healthcare, infrastructure, and development.

21.2 Higher Burden on Honest Taxpayers

If some people evade taxes, honest taxpayers may have to carry a larger burden.

21.3 Inequality

Tax evasion by high-income people or profitable firms increases inequality.

21.4 Weak Public Services

Lower revenue may reduce the quality of public services.

21.5 Unfair Competition

Firms that evade taxes may sell at lower prices unfairly compared to compliant firms.

21.6 Budget Deficit

Revenue loss may increase government borrowing and budget deficit.

21.7 Loss of Trust

Tax evasion reduces trust between citizens, businesses, and government.

22. Measures to Reduce Tax Evasion

Tax evasion can be reduced through a combination of administrative, legal, technological, and social measures.

22.1 Simplify Tax Rules

Simple rules reduce confusion and improve compliance.

22.2 Digital Tax Filing

Online filing systems make tax payment easier and create digital records.

22.3 Digital Payments

Digital payments create transaction trails and reduce hidden cash transactions.

22.4 Strong Audit System

Risk-based audits can detect suspicious cases more effectively.

22.5 Data Matching

Tax authorities can compare data from banks, employers, businesses, customs, and digital platforms.

22.6 Public Awareness

Tax education can improve voluntary compliance.

22.7 Fair Enforcement

Rules must be applied fairly to all taxpayers.

22.8 Penalties for Evasion

Strong penalties can discourage evasion.

22.9 Reduce Corruption

Transparent administration and digital systems can reduce corruption.

22.10 Improve Public Service Delivery

People are more willing to pay taxes when they see better public services.

23. Role of Technology in Tax Administration

Technology can improve tax systems in many ways.

23.1 Online Tax Registration

People and businesses can register digitally.

23.2 Electronic Filing

Tax returns can be submitted online.

23.3 Digital Payment

Taxes can be paid through online banking, mobile financial services, cards, or payment gateways.

23.4 E-Invoicing

Electronic invoices help track sales and reduce fake invoices.

23.5 Data Analytics

Tax authorities can use data analytics to detect unusual patterns.

Example:

If a business reports very low sales but has high bank deposits, it may be selected for audit.

23.6 Artificial Intelligence

AI can help identify risky taxpayers, detect fraud patterns, and improve taxpayer services through chatbots.

23.7 Blockchain

Blockchain may be used in some contexts to create tamper-resistant transaction records.

23.8 Cybersecurity

Tax systems contain sensitive personal and financial data. Strong cybersecurity is essential.

CST students may work in:

1. Secure database design,
 2. Encryption,
 3. Identity verification,
 4. Fraud detection,
 5. Payment system security,
 6. Tax software development,
 7. Data privacy protection.
-

24. CST-Focused Applications of Tax Concepts

24.1 Tax on Software Income

A software developer may earn income from:

1. Employment,
2. Freelancing,
3. Selling software,
4. App subscriptions,
5. Maintenance services,
6. Software consultancy.

These earnings may be subject to personal income tax or business tax depending on legal structure.

24.2 Tax on E-Commerce

E-commerce businesses may face:

1. VAT or sales tax on goods and services,
 2. Income tax on profit,
 3. Tax documentation requirements,
 4. Digital payment records,
 5. Import duty on imported goods.
-

24.3 Tax on Digital Services

Digital services may include:

1. Streaming subscriptions,
2. Cloud storage,
3. Online advertising,
4. Software-as-a-Service,
5. Online learning platforms,
6. App purchases.

Governments increasingly try to tax digital services because digital markets are expanding.

24.4 Tax and Freelancing

Freelancers should understand:

1. Income reporting,
 2. Recordkeeping,
 3. Bank statements,
 4. Platform reports,
 5. Deductible expenses,
 6. Tax filing obligations,
 7. Foreign income treatment.
-

24.5 Tax and Startups

A technology startup may need to deal with:

1. Business registration,
2. Corporate income tax,
3. VAT or sales tax,
4. Employee payroll records,

5. Investor documentation,
 6. Software licensing,
 7. Import taxes on hardware,
 8. Tax incentives, if available.
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24.6 Tax and Digital Payment Systems

Digital payment systems can improve tax compliance because they create records. However, they also require:

1. Secure systems,
 2. Privacy protection,
 3. Reliable infrastructure,
 4. Fraud control,
 5. User authentication.
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25. Activities

Activity 1: Classify the Tax

Ask students to classify the following taxes as direct or indirect:

Tax Item	Direct or Indirect?
Income tax paid by a software engineer	Direct
VAT on laptop purchase	Indirect
Customs duty on imported computer parts	Indirect
Corporate tax paid by a software company	Direct
Tax included in mobile data package price	Indirect
Property tax paid by house owner	Usually direct

Activity 2: Specific or Ad-Valorem?

Ask students to identify whether the tax is specific or ad-valorem.

Case	Type of Tax
Tk. 20 per unit sold	Specific
10% of product price	Ad-valorem
Tk. 5 per liter	Specific
15% VAT on software subscription	Ad-valorem
Tk. 100 per SIM card	Specific

Case	Type of Tax
5% customs duty on laptop value	Ad-valorem

Activity 3: Simple Tax Calculation

A student buys a software subscription for Tk. 3,000. Suppose an ad-valorem tax of 10% is imposed.

Questions:

1. What is the tax amount?
2. What is the total payment?

Solution:

Tax amount:

$$10\% \text{ of Tk. } 3,000 = \text{Tk. } 300$$

Total payment:

$$\text{Tk. } 3,000 + \text{Tk. } 300 = \text{Tk. } 3,300$$

Activity 4: Personal Income Tax Practice

A CST graduate earns Tk. 70,000 per month from employment and Tk. 20,000 per month from freelancing.

Annual employment income:

$$\text{Tk. } 70,000 \times 12 = \text{Tk. } 840,000$$

Annual freelancing income:

$$\text{Tk. } 20,000 \times 12 = \text{Tk. } 240,000$$

Gross annual income:

$$\text{Tk. } 840,000 + \text{Tk. } 240,000 = \text{Tk. } 1,080,000$$

Suppose allowable deductions are Tk. 180,000.

Taxable income:

$$\text{Tk. } 1,080,000 - \text{Tk. } 180,000 = \text{Tk. } 900,000$$

If the assumed average tax rate is 10% for classroom practice:

Tax liability:

$$10\% \text{ of Tk. } 900,000 = \text{Tk. } 90,000$$

Activity 5: Tax Evasion Discussion

Ask students:

A freelancer earns money from foreign clients through an online platform but does not keep records and does not report income. Is this tax avoidance or tax evasion?

Expected answer:

If the law requires the income to be reported and the freelancer intentionally hides it, this is tax evasion.
